Historical foundations and early Republican development

Lecture 2

Learning objectives

- **Explain how the Ottoman production structure shaped the Republic's starting conditions.**
  In terms of production, the Ottoman economy was essentially agricultural. Late Ottoman manufacturing supplied basic consumer goods and consisted largely of very small establishments. The Republic inherited this productive structure after years of war and destruction.
- **Read historical charts using their units, denominators, and time periods.**
  The allocation of foreign private investment shows what a sector share measures. About 65 percent of that investment went to railways before the First World War. The denominator is foreign private investment, so the share does not describe the allocation of all investment in the economy.

Learning objectives

- **Compare the 1920s policy mix with etatist industrialization in the 1930s.**
  Private business was supported in the 1920s through credit institutions and incentives. In the early 1930s, public enterprises were established to initiate industrial projects that private investors were unable or unwilling to undertake. Both approaches sought to increase domestic productive capacity.
- **Connect global shocks to domestic policy choices and distributional outcomes.**
  The Depression reduced foreign demand for agricultural exports and constrained access to foreign currency. Wartime mobilization later reduced output and made shortages more severe. Emergency taxes and inflation changed how the costs of war were distributed.

The main historical turning points

Period	International setting	Turkish economic setting
1820–1914	Expanding trade and capital flows	Agricultural specialization and limited industrialization
1914–1923	War and breakdown of integration	Destruction, population disruption, and reconstruction
1923–1929	Fragile international recovery	Institution building and support for private enterprise
1930s	Depression and trade restrictions	Etatism and public industrial investment
1939–1940s	World War II and shortages	Mobilization, economic controls, and fiscal pressures

- **Ottoman specialization and wartime disruption**
  Foreign railway finance connected agricultural districts to export ports. Imports of manufactured goods competed with domestic handicrafts. Successive wars depleted human and physical resources before the Republic was founded.
- **Reconstruction in the 1920s**
  Institutions were rebuilt after the war. Private enterprise was encouraged through banks and industrial incentives. Balanced public finances were pursued even after the abolition of aşar.

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- **Industrialization and wartime adjustment**
  During the Depression, foreign currency and private investment became scarce, so public enterprises were used to establish industrial capacity. Mobilization later diverted resources toward defence. Shortages were managed through rationing and controls, while extraordinary taxes were introduced.

Policy changed as both domestic constraints and the international environment changed.

The Ottoman production base

- **Agriculture dominated production and supplied much of the economic surplus.** In terms of production, the Ottoman economy was essentially agricultural. The central authority was able to collect a portion of the rural surplus. Some of those resources were used to provide roads, irrigation and caravanserais.
- **Manufacturing largely served local demand for food, clothing, and other basic goods.** Manufacturing output was aimed at producing basic consumer goods for local markets, such as food and clothing. Modern factory production was limited. Handicraft producers consequently faced strong competition when the domestic market was opened to imported manufactures.

The Ottoman production base

- **Small establishments and limited modern industry restricted the scope for productivity gains.**
  Manufacturing establishments averaged only about two workers per unit. Production on that scale offered little basis for developing a broad factory sector. Modern manufacturing capacity was therefore limited when the Republic was established.
- **Domestic institutions and external constraints slowed industrialization.**
  Agricultural surpluses were collected without being directed into industrial capital formation on a sufficient scale. The legal and educational systems did not provide a unified institutional framework for development. External privileges and competition from imported manufactures added to these domestic constraints.

The development problem included how to turn agricultural resources into industrial capacity.

Land, taxation, and state authority

- **The timar system linked access to agricultural revenues with military and administrative obligations.**
  Under the timar system, rights to use land and collect revenues were tied to military service and central authority. In practice, large portions of agricultural land were assigned to military commanders. The arrangement linked rural production directly to the fiscal and military organization of the state.
- **Agricultural taxation gave the state claims on rural output.**
  Agricultural taxes included aşar, a levy on gross output, and ağnam, a tax on animals. Aşar was levied at one tenth of gross agricultural output in the description of the Ottoman system. The central authority used its claim on the surplus to support public functions and services.

Land, taxation, and state authority

- **It is argued that surplus extraction did not generate sufficient productive industrial investment.**
  Heavy taxation made agricultural resources available to the state. The institutional structure did not channel enough of those resources toward manufacturing. Extraction of a surplus was therefore insufficient to create sustained industrial capital accumulation.
- **The capacity to collect resources differed from the capacity to use them for development.**
  The central authority could use the surplus to provide irrigation, roads and caravanserais. It did not develop a comparable mechanism for transferring rural resources into industrial production. By the final decades, fiscal weakness had even led to the delegation of some tax collection to private agents.

Fiscal organization and investment allocation must be analysed together.

World trade before 1914



Figure 3.1 Ratio of World Exports to World GDP, 1800–1914 (five-year moving average)

- World exports grew relative to world output, showing that economies increasingly produced for overseas markets.
- Larger markets allowed specialization and greater production, but also exposed producers to foreign competition and changes in external demand.
- For the Ottoman economy, this setting offered agricultural export opportunities while increasing pressure on domestic manufacturing.

Cross-border trade was becoming more important in the world economy.

Transport costs and market access

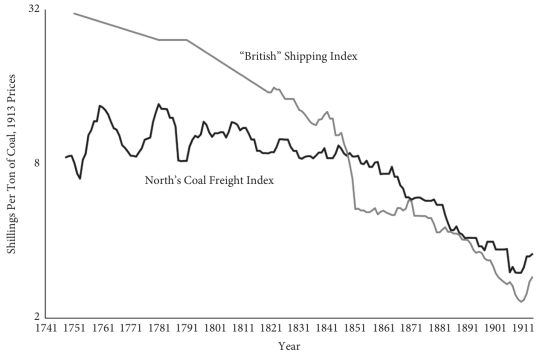


Figure 3.3 Freight Rate Indices, 1741–1913, shillings per ton-km for coal, log scale, ten-year moving averages

- Falling freight costs made it profitable to trade goods over longer distances and connected more producers to international markets.
- Lower delivery costs could raise the price received by exporters while reducing the price paid by consumers abroad.
- Railway and port investment could therefore expand Ottoman agricultural exports, while cheaper imported manufactures intensified competition for local producers.

Cheaper transport expanded markets and intensified competition.

Sources of nineteenth-century trade growth

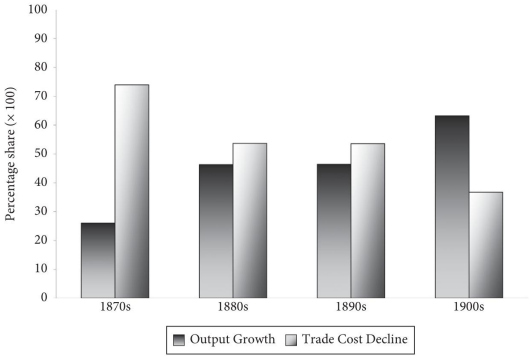


Figure 3.2 Decomposition of Growth in World Trade: Output versus Trade Costs, 1870–1910

- Falling trade costs explain about 73% of trade growth in the 1870s in the decomposition. Removing barriers had a large effect on exchange.
- By the 1900s, output growth accounts for about 63%. Expanding production and income generated more demand for imports.
- The relative importance of market access and economic expansion changed over time. These are world estimates, rather than Ottoman- specific effects.

Integration depended on both larger economies and lower barriers to exchange.

Comparative advantage and specialization

- Comparative advantage depends on relative opportunity costs.
- Productivity differences can explain why countries export different goods.
- Relative supplies of land, labour, and capital also influence export patterns.
- Specialization can raise aggregate income while changing the fortunes of workers, producers, and asset owners.

A gain in total income does not imply equal gains for every group.

Land abundance and primary-product exports

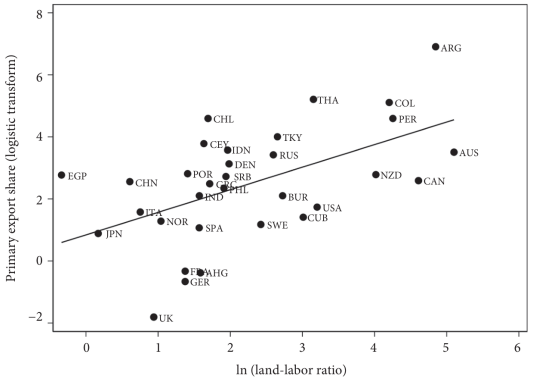


Figure 3.10 Primary Product Exports versus the Land-Labor Ratio, 1890

- Economies with more land per worker tended to export a larger share of primary products. Their resource endowments favoured land-intensive production.
- This helps explain agricultural specialization in the Ottoman economy within the international division of labour.
- Export expansion could raise agricultural income without automatically creating a manufacturing sector. The cross- country relationship alone does not establish causation.

The figure supports a factor-endowment interpretation, but does not establish a single cause.

Price convergence across markets

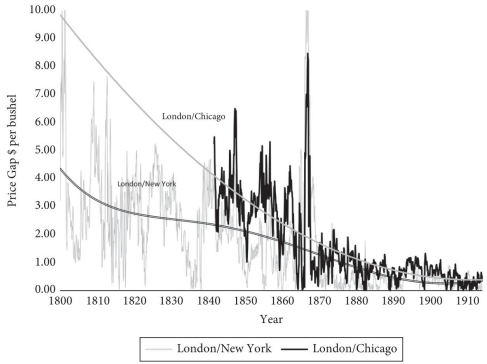


Figure 3.9 Price Gaps for Wheat, London/New York City and London/Chicago, 1800–1914

- Wheat price gaps narrowed as transport and trading costs fell, allowing supplies to move more easily between markets.
- Consumers in importing markets could benefit from cheaper grain, while exporters gained access to buyers willing to pay more.
- Closer price integration also transmitted overseas price shocks to domestic producers. The figure illustrates this mechanism through Atlantic markets.

Integration can be observed in prices as well as in the volume of trade.

Distance and international trade

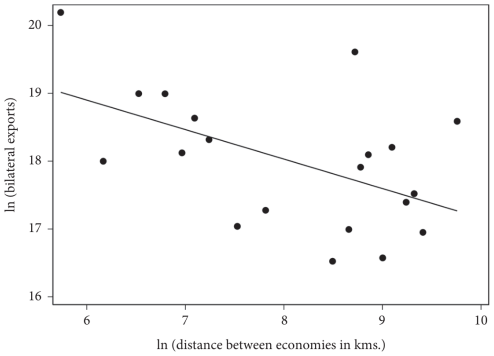


Figure 3.8 Bilateral Trade versus Bilateral Distance, Binned Scatter Plot, Twenty-Seven Countries, 1870–1914

- More distant economies generally traded less with one another. Transport expenses and information barriers continued to limit exchange.
- Infrastructure could reduce these disadvantages, but falling global trade costs did not give all locations equal market access.
- For Ottoman development, the implication is that connections between inland production and ports mattered for which regions could participate in export growth.

Lower global trade costs did not eliminate geography.

The geography of exports before 1914

Exporter / year	Europe	N. America	S. America	Asia	Africa	Other
UK, 1860	46.7	25.5	11.5	12.8	2.5	1.0
UK, 1910	35.2	11.6	12.6	24.5	7.4	8.6
Europe, 1860	67.5	9.1	7.7	10.0	3.2	2.5
Europe, 1910	67.9	7.6	4.2	9.8	4.8	2.4

Shares of exports by destination (%).

- Europe remained the main destination for European exports, while the UK's export share going to Asia rose from 12.8% to 24.5%. Global integration expanded unevenly across trading relationships.

Ottoman integration and policy autonomy

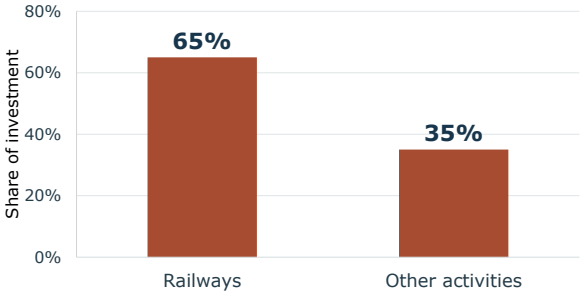
- **The 1838 agreement with Britain widened access to the Ottoman market.**
  The agreement signed with Britain in 1838 opened the domestic market to British industrial goods. Ottoman producers faced manufacturers with a much larger industrial base. The agreement reinforced integration through imports of manufactures and exports of primary products.
- **Import competition put pressure on domestic handicraft production.**
  Domestic manufacturing was mainly organized as handicraft production. Opening the domestic market exposed these producers to imported industrial goods. Their difficulties were compounded by restrictions on the use of protective customs duties.

Ottoman integration and policy autonomy

- **Railways in western Anatolia connected agricultural hinterlands to export ports.**
  Foreign private capital financed railway construction in western Anatolia. The lines connected İzmir with agricultural districts in its hinterland. Production and exports of agricultural commodities and raw materials were encouraged along those routes.
- **Capitulations and related privileges constrained parts of the legal and economic policy framework.**
  Legal and economic privileges had been granted to foreigners from the sixteenth century onward. They became more extensive through later agreements as the empire weakened. The resulting arrangements restricted the use of tariff policy and reinforced dependence on foreign finance.

Greater market access could coexist with weak domestic industrial development.

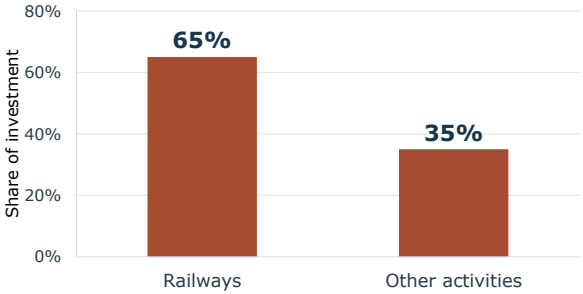
Sectoral allocation of Ottoman foreign investment



Approximate sector shares before World War I

- **Railway concentration**
  Foreign private investment exceeded 234 million Ottoman lira before the First World War. Approximately 65 percent was allocated to railway construction. The remaining share included banking, insurance, electricity, ports, trade, industry and mining.
- **Export connections**
  Railway construction in western Anatolia was financed by foreign investors. Agricultural districts were connected to the port of İzmir. The new connections supported production and export of agricultural commodities and raw materials.

Sectoral allocation of Ottoman foreign investment



Approximate sector shares before World War I

- **Implications for industrial capacity**
  Rail transport and much mining were controlled by foreign capital in the late Ottoman period. Manufacturing nevertheless remained concentrated in small establishments supplying basic local needs. Railway investment did not itself create a broad manufacturing base.

The composition of investment matters as much as its total amount.

British investment portfolios in 1900

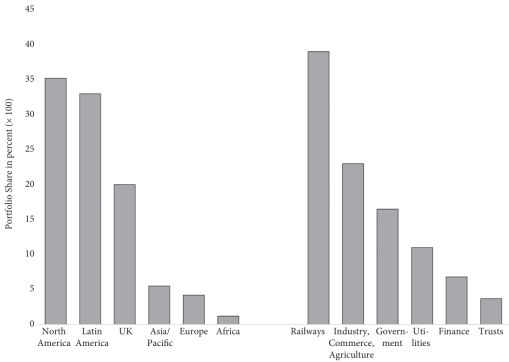


Figure 4.3 Portfolio Shares by Region and Sector for British Investment Trusts, 1900

- British investment trusts held large railway portfolios and invested heavily in the Americas. Foreign finance helped build the infrastructure of international trade.
- The Ottoman emphasis on railway investment formed part of this wider pattern. Investors sought projects with expected commercial returns.
- Capital inflows could expand productive capacity, although their allocation need not match every priority of a receiving economy.

Ottoman railway finance formed part of a much wider international investment pattern.

The convergence of sovereign borrowing costs

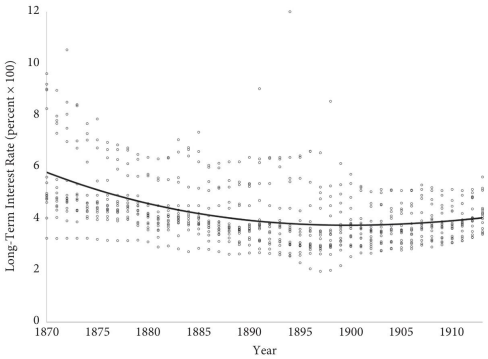


Figure 4.1 Long-Term Interest Rates, Sovereign Debt, Seventeen Countries, 1870–1913

- Average sovereign borrowing costs fell from about 6% in 1870 to 4.3% in 1913,.
- Cheaper borrowing could make infrastructure projects easier to finance and reduce the cost of refinancing debt.
- Benefits still depended on creditworthiness and the use of borrowed funds. Greater financial integration did not remove the Ottoman state's repayment and fiscal constraints.

Financial integration reduced some barriers, while repayment risk still mattered.

Foreign capital and real wages

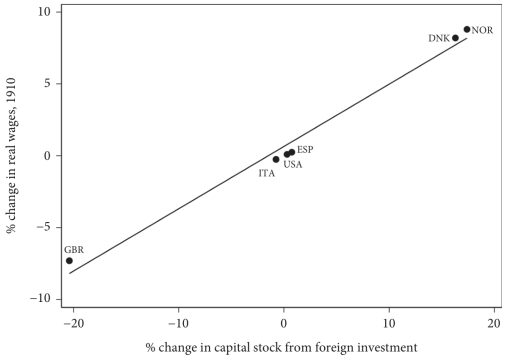


Figure 4.5 Impact of Cumulative Capital Inflows, 1870–1910, on Domestic Capital Stock and Real Wages

- The model estimates that capital inflows raised capital stocks and real wages in receiving economies. More capital per worker can increase labour productivity.
- Britain appears on the opposite side because capital exports reduced domestic capital relative to a scenario without those flows.
- This illustrates a potential benefit of foreign investment. These are model- based comparisons, and Turkey is not in the plotted sample.

Productive inflows can raise labour productivity, but these are model-based effects.

Productive investment and revenue borrowing

Type	Use of funds	Economic implication
Development borrowing	Railways, ports, utilities, and productive equipment	Can expand output and future repayment capacity
Revenue borrowing	Covering fiscal gaps without equivalent productive investment	Can increase debt service without increasing future income
Both types	Require credible contracts and adequate information	Bad projects, shocks, or weak institutions can still cause default

- Borrowing can strengthen repayment capacity when it finances productive assets. If debt mainly covers fiscal shortfalls, future debt service can rise without a corresponding increase in output or public revenue.
- Foreign finance supports development when productive returns and repayment capacity justify the liabilities.

The economic inheritance of the Republic

- **A predominantly agricultural economy with limited modern industrial capacity.**
  The economy inherited by the Republic was largely agricultural. Manufacturing was concentrated in small units producing basic goods for local markets. The development of a modern industrial base therefore required new investment as well as recovery of existing production.
- **Weak transport connections and scarce domestic industrial finance.**
  Rail transport was largely controlled by foreign capital in the late Ottoman period. Railway investment had concentrated on selected connections, including export routes in western Anatolia. Domestic banking capacity was limited despite the establishment of the Agricultural Bank and some local banks.

The economic inheritance of the Republic

- **Limited education and shortages of qualified personnel.**
  Traditional schools, modern schools and minority schools operated alongside one another. Technical education was expanded in the final years of the empire, but successive wars depleted qualified personnel. Only about one tenth of a population of roughly 13 million was described as barely literate at the founding of the Republic.
- **War losses and displacement damaged productive resources and commercial relationships.**
  The Republic was founded after a long period of successive wars. Human and physical resources had been lost, and production had been disrupted. Reconstruction consequently required rebuilding institutions alongside restoring economic activity.

The Republic faced institution building and productive reconstruction at the same time.

World War I and international economic disruption

- War interrupted shipping, trade finance, and established commercial networks.
- Governments redirected resources toward military production and supply.
- Financial markets closed or faced emergency intervention and payment restrictions.
- New borders and economic nationalism complicated post-war reconstruction.

The return of protectionism

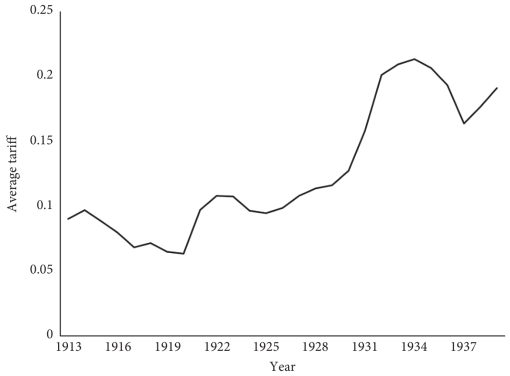


Figure 8.1 Average Tariff, Twenty-three Countries, 1913–1939

- Average tariffs rose sharply as the world economy entered the 1930s crisis, making imported goods more expensive.
- Protection could support some domestic producers, but it also restricted export markets and raised costs for firms using imported inputs.
- For Turkey, weaker external opportunities strengthened the case for domestic production. The figure describes 23 countries, so it does not measure Turkish tariffs alone.

Early Republican policy developed in an increasingly restrictive trading environment.

World trade after 1929

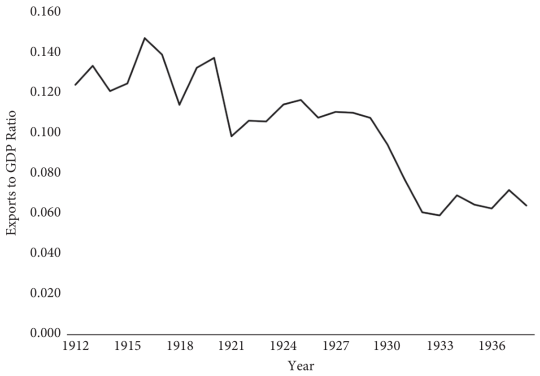


Figure 8.2 Ratio of World Exports to World GDP, 1913–1939

- World exports fell relative to world output after 1929, showing a reversal of international integration.
- Weaker demand, trade restrictions, and disrupted finance constrained the opportunities available to exporting economies. The figure does not separate their effects.
- For Turkey, lower export earnings could restrict the foreign exchange available for machinery and other imports, increasing pressure to develop domestic production.

The Republic's reconstruction took place during an uneven international recovery.

The fragility of the international recovery

- American lending helped Germany make reparations payments.
- Allied countries used receipts to service their obligations to the United States.
- This financing structure depended on continued capital inflows.
- A restored gold-exchange standard faced weak cooperation and rising political resistance to deflation.

A recovery financed by unstable international credit could transmit shocks across countries.

Reconstruction and the national economy

- **The new government linked political sovereignty to economic independence.**
  National sovereignty was linked to economic independence at the İzmir Economic Congress. Economic institutions were to be built within the authority of the new state. Foreign capital could still be accepted on an equal footing under domestic law.
- **Recovery required restoring production and repairing infrastructure.**
  Successive wars had damaged human and physical resources. Improved land and sea transport was a common concern among the groups represented at İzmir. Reconstruction therefore included investment in the links needed to reconnect producers with markets.

Reconstruction and the national economy

- **A common legal and administrative framework aimed to support economic coordination.** Administration, education and justice were reorganized as complementary parts of modernization. The dual structures in education and justice were replaced by unified systems. A common legal framework was viewed as a condition for economic development.
- **Domestic entrepreneurship needed finance, skills, and more reliable market institutions.** The Congress called for better access to credit and more technical education. Trade and industry groups also sought stronger professional organizations and improvements in infrastructure. Support for domestic enterprise was paired with the creation of institutions that could sustain private investment.

Independence did not require rejecting every form of foreign trade or investment.

The İzmir Economic Congress, 1923

Group	Main demands
Merchants	Transport, commercial banking, simpler regulation, and fewer monopolies
Farmers	Abolition of aşar and the tobacco monopoly, agricultural credit, machinery, and security
Industrialists	Protection, tax relief, industrial finance, and technical education
Workers	An eight-hour day, leave, social protection, job security, and improved conditions

- **Merchants**
  Improved land and sea transport was requested to facilitate trade. The merchants also proposed a commercial bank and reorganization of chambers of commerce. Simpler customs rules and the removal of monopolies were among their demands.
- **Farmers**
  The abolition of aşar and the foreign-owned tobacco monopoly was requested. Farmers also called for more agricultural credit and better access to machinery. Improvements in rural security and transport were proposed.

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- **Industrialists**
  Protection against imported industrial goods was requested. Industrialists called for tax exemptions and renewal of industrial incentives. They also proposed an industrial credit bank and expanded technical education.
- **Workers**
  An eight-hour working day was demanded. Paid leave, social security and job security were also requested. Improvements in conditions for women workers were included among the proposals.

The groups shared an interest in development but proposed different instruments and benefits.

The Congress's common economic principles

- **National sovereignty and economic independence belonged together.**
  The economic principles adopted at İzmir joined political independence with economic independence. Sovereignty was understood to require a viable domestic economy. Faster capital accumulation and the creation of national institutions were emphasized in the proposals.
- **Participants supported domestic production and the development of scientific and technical capabilities.**
  Consumption of domestic products was encouraged. Science and technology were given a central place in development. Natural resources were to be used for the benefit of the country.

The Congress's common economic principles

- **Foreign capital could participate if it accepted domestic law and received no special privileges.**
  Foreign capital was accepted in principle. It was expected to comply with domestic law and operate without special privileges. This differed from the privileged position granted to foreign investors under the capitulations.
- **Infrastructure, credit, and professional organizations would support private capital accumulation.**
  The professional groups shared demands for improved transportation and communications. Access to credit and technical education was also emphasized. Chambers and other professional institutions were to be established to support private capital accumulation.

The programme combined national objectives with support for private enterprise.

Lausanne and the economic policy framework

- **The peace treaty was signed on 24 July 1923.**
  The treaty followed the War of Independence. It addressed long-standing economic questions as well as political recognition. Capitulations, foreign debt, customs restrictions and population exchange all affected the new state's economic options.
- **The settlement abolished capitulations and addressed inherited Ottoman obligations.**
  The capitulations and associated foreign privileges were abolished. Türkiye accepted responsibility for an allocated share of Ottoman debt. That burden remained subject to renegotiation after the settlement.

Lausanne and the economic policy framework

- **Temporary customs constraints limited immediate tariff autonomy.**
  Immediate control over customs tariffs remained restricted for a transitional period. This limited the use of tariff protection in the early Republic. The right to set customs tariffs was obtained in 1929.
- **Population exchange disrupted livelihoods and required resettlement and economic adjustment.**
  The exchange required many Greek residents of Türkiye and Turkish residents of Greece to move, with designated exceptions. Roughly 1.3 million Greeks and 400,000 Turks were exchanged in the figures presented for the period. The scale of resettlement created substantial economic and social adjustment needs.

Legal sovereignty widened policy choices, but reconstruction and inherited liabilities still constrained them.

Institutional reform as economic policy

- **Administrative reform aimed to create a more coherent national state.**
  Public administration was reorganized as part of the creation of a national state. The new institutions were designed under a common legal and administrative framework. Their formation was considered important for faster private capital accumulation.
- **A unified judicial framework made common rules central to economic modernization.**
  The older and newer judicial structures had existed side by side. They were replaced by a unified system intended to establish uniform rules. Judicial renewal was regarded as a condition for economic development and social modernization.

Institutional reform as economic policy

- **Education reform sought to expand skills and scientific knowledge.**
  Education was given a central role in the modernization programme. Scientific advancement was emphasized, and education was used to train qualified personnel. The resulting skills were expected to support economic and social development.
- **Changes in the alphabet, measures, and calendar supported a wider reorganization of social and economic life.**
  The alphabet, units of weight and length, time and calendar were changed. These changes formed part of a programme that linked administrative, educational and judicial reform. Common standards were adopted as economic and social life was reorganized.

Legal and educational reforms influenced the conditions under which firms could invest.

The 1920s policy mix

- **The state encouraged private business and sought to expand domestic capital ownership.**
  Private businesses were encouraged during the first decade of the Republic. Credit institutions and industrial incentives were used to support domestic capital formation. These measures continued several proposals advanced at the İzmir Economic Congress.
- **Public support included banks, industrial incentives, and institutional reform.**
  İş Bankası was founded with participation from business circles and political leaders. The Bank of Industry and Mining was established to manage public industrial establishments and support private industry. The Industrial Support Law was renewed to strengthen incentives for investment.

The 1920s policy mix

- **Nationalization in infrastructure coexisted with private enterprise.**
  Nationalization was pursued in railways, mining and ports. At the same time, support was given to private business through banking and industrial incentives. Ownership policy therefore varied according to the activity and its role in development.
- **Some monopoly privileges also went to private businesses, complicating the label "liberal".**
  Monopolies were created for certain basic consumer products. Some were assigned to private businesses, including in areas such as matches and alcoholic beverages. These privileges served domestic capital formation, even though they limited competition.

The 1920s combined support for private enterprise with government intervention.

Agriculture, aṣar, and the fiscal trade-off

- **The Congress's farming representatives demanded abolition of aṣar.**
  Farmers requested abolition of aṣar and the foreign-owned tobacco monopoly. They also sought agricultural credit, machinery and better rural transport. The demands combined tax relief with measures to raise productive capacity.
- **The Republic removed this major agricultural tax while seeking to maintain fiscal balance.**
  Aṣar had been a major source of public revenue. It was abolished despite the early Republic's commitment to avoiding budget deficits. Budget balance nevertheless remained a central objective of economic policy.

Agriculture, aşar, and the fiscal trade-off

- **Lower extraction could leave more resources with producers.**
  Aşar took a share of gross agricultural output rather than net farm income. Its removal reduced the direct claim on that output. Farmers could retain a larger share of their production, although access to credit, machinery and markets still mattered.
- **The government still needed revenue for infrastructure, administration, and reconstruction.**
  Abolition of a principal tax reduced an established source of revenue. Public institutions and infrastructure still had to be financed during reconstruction. The government sought to meet these obligations without relying on persistent budget deficits.

Banks, infrastructure and domestic enterprise

- **İş Bankası linked commercial finance with the creation of domestic businesses.**
  İş Bankası was established with shareholders from political and business circles. Its formation brought commercial finance and domestic business interests together. The bank became an institution through which private capital accumulation could be supported.
- **The Bank of Industry and Mining aimed to manage public establishments and support private industry.**
  The Bank of Industry and Mining was given a dual purpose. It was to manage public industrial establishments and provide support for private industry. Public ownership and assistance to private investment were thus combined within one institution.

Banks, infrastructure and domestic enterprise

- **Railway and port policy affected access to markets and raw materials.**
  Land and sea transport improvements were sought by the economic groups represented at İzmir. Nationalization was pursued in railways and ports as part of the reorganization of infrastructure. These networks connected producers to markets and to sources of raw materials.
- **Industrial incentives needed complementary finance and technical skills.**
  The industrial incentive law was renewed during the 1920s. Industrialists also requested a credit bank and more technical education. Incentives were expected to work alongside financing, skills and stronger institutions.

A factory's prospects depended on the institutions and networks around it.

Stability as a policy objective

- **The government emphasized balanced public finances after the instability of the late Ottoman period.**
  Economic instability in the final Ottoman decades shaped the Republic's priorities. Budget deficits were avoided even after a major agricultural tax was abolished. Balanced public finances were treated as a central part of stabilization.
- **Monetary expansion was restrained.**
  Monetary expansion was restrained in the early Republic. The establishment of a central bank was not used to justify an immediate increase in the money supply. Monetary restraint complemented the emphasis on a balanced budget.

Stability as a policy objective

- **The establishment of the Central Bank in 1930 strengthened domestic monetary institutions.**
  The Central Bank was established in 1930 after extensive preparatory work. Its formation gave the Republic a domestic monetary institution. Earlier, banknote issuance had been carried out by the foreign-owned Ottoman Bank.
- **Tariff autonomy after 1929 expanded the set of instruments available for external adjustment.**
  The right to fix customs tariffs was obtained in 1929. Before that change, the foreign trade balance had been persistently in deficit. Tariff autonomy added an instrument for responding to external imbalances.

Early industrial development took place alongside a strong concern for financial stability.

The Depression and constraints on development

- **Demand and prices for agricultural exports weakened.**
  Agricultural goods and raw materials made up a large share of exports. The Depression sharply reduced foreign demand for these products. Türkiye consequently had more difficulty selling agricultural output abroad.
- **Lower export earnings reduced the foreign exchange available for imports and debt payments.**
  The decline in exports reduced access to foreign currency. Foreign currency was needed for consumer goods, raw materials and machinery as well as inherited debt payments. Scarcity therefore affected both production and the servicing of public obligations.

The Depression and constraints on development

- **Private firms faced scarce finance and weak incentives for long-horizon industrial investment.**
  Private enterprises had accumulated too little capital to undertake many industrial projects. During the Depression, expected returns were uncertain and might be realized only after a long period. Public initiative was used to start projects that private firms were unable or unwilling to undertake.
- **World financial disruption limited access to foreign capital.**
  Foreign investment was scarce during the world economic crisis. Limited external funding added to the shortage of domestically accumulated capital. Soviet financial and technical assistance became an important supplement to domestic public resources.

The crisis strengthened the case for producing selected imported goods domestically.

Etatism and import substitution

- **Etatism gave public enterprises a leading role in establishing industrial capacity.**
  Public economic enterprises were established to initiate industrial production. The aim was to create capacity in activities where private investment was insufficient. Industrialization was linked to the objective of economic independence.
- **The strategy aimed to produce basic manufactured necessities domestically.**
  The first stage of import substitution concentrated on basic consumer goods. Sugar and textiles were examples of goods that could be produced domestically. The programme also included industries such as iron and steel and paper because of their wider economic uses.

Etatism and import substitution

- **Public investment responded to limited private capital and the risks of the Depression.** The Depression reduced export earnings and made foreign finance scarce. Private firms faced limited accumulated capital and long waits for returns. State investment was used to establish industries that would process domestic resources and supply local demand.
- **Etatism was intended to support the longer-run development of private enterprise.** Public investment was intended to support private capital accumulation. Public enterprises could enlarge domestic markets, supply inputs and train workers. Joint ventures were another means of transferring capital to private business.

The 1930s strategy changed who initiated industrial investment and how it was organized.

Demand recovery and industrial capacity

Question	Industrial economies in depression	Early Republican Türkiye
Central difficulty	Underused existing industrial capacity	A limited modern industrial production base
Immediate policy aim	Restore spending and utilization	Establish productive facilities and supporting institutions
Role for government	Support demand and stabilize activity	Organize investment and overcome capacity constraints
Shared challenge	Avoid waste and sustain recovery	Avoid waste and create viable production

- **Use of existing capacity**
  Industrial economies faced falling production and rising unemployment during the Depression. Government spending was proposed as a means of increasing aggregate demand. The aim was to bring existing industrial facilities back into use.
- **Creation of new capacity**
  Modern industrial capacity was limited in Türkiye. Public enterprises were formed to establish facilities where private investment was insufficient. The initial programme emphasized local inputs and production for the domestic market.

The First Five-Year Industrialization Plan

- **The plan covered 1934–1938 and focused on establishing industrial projects.**
  The First Five-Year Industrialization Plan was prepared for 1934 to 1938. It concentrated on establishing industrial facilities. The institutions needed to organize and finance those projects were prepared alongside the plan.
- **Feasibility studies examined technical and economic conditions.**
  Economic and technical feasibility studies were prepared for proposed establishments. Planned capacity was assessed in relation to the size of the domestic market. The preparation of projects also drew on technical knowledge available abroad.

The First Five-Year Industrialization Plan

- **Project choices emphasized domestic raw materials and domestic market demand.** Industrial plants were designed to use local agricultural products and natural resources. Sites were selected in or near sources of raw materials. Capacity was planned to meet domestic demand, with priority given to basic consumer goods.
- **The plan targeted replacement of about 44% of imports at the time.** The plan envisaged domestic production of goods equivalent to about 44 percent of imports at the time. This was a target for the industries once they were completed. It expressed the scale of intended import substitution rather than an observed reduction in imports.

Financing the first industrial plan

Initial financing component	Million TL	Share of 45m TL
Soviet credit	10.5	23.3%
İş Bankası contribution	2.4	5.3%
Budget residual, calculated	32.1	71.3%
Initial total	45.0	100.0%

Components may differ from the total due to rounding.

- **Initial financing**
  The first estimate of total expenditure was 45 million TL. Soviet credit of 10.5 million TL was assigned to textiles. İş Bankası contributed 2.4 million TL for paper and some light chemicals.
- **Budget contribution and revisions**
  The remaining financing was to be allocated from the budget each year. Subtracting the two specified contributions from the initial total gives a budget residual of 32.1 million TL, or about 71 percent. The total cost estimate was subsequently raised to 65 million TL and then to 100 million TL.

Industries and productive linkages

- **Priorities included textiles, iron and steel, paper, chemicals, cement, and glass.**
  Textiles were given priority because they had been imported on a large scale. Industrial projects also included iron and steel, paper, chemicals, cement and glass. Both final consumer goods and intermediate inputs were included in the programme.
- **Domestic raw materials influenced project choices and location.**
  Plants were designed around agricultural products and natural resources available domestically. Establishments were located near relevant sources of raw materials where possible. Location policy also sought a more balanced distribution of development across regions.

Industries and productive linkages

- **Industrial demand could support local suppliers and agricultural producers.**
  Industrial facilities required inputs from farms and other local producers. Demand for these inputs could stimulate production beyond the factory itself. This was one reason the programme was expected to increase overall productive capacity.
- **Industrial outputs could provide inputs for further private production.**
  New plants were expected to supply materials to other domestic industries. A wider range of intermediate goods could support further production of goods and services. The benefits of the programme could therefore extend beyond the output of the original establishments.

Public economic enterprises and governance

- **Sümerbank organized important public industrial activities.**
  Sümerbank was established as an umbrella organization for public industrial enterprises. Institutional arrangements were prepared before the plants began operating. This allowed investment and management to be organized alongside construction.
- **Etibank supported mining and related infrastructure.**
  Etibank was established to work in areas such as mining and electricity. These activities supplied inputs and infrastructure for industrial development. Its responsibilities complemented the organization of manufacturing under Sümerbank.

Public economic enterprises and governance

- **Public enterprises were organized as companies and operated on commercial principles.**
  Public economic enterprises were organized as joint-stock companies. Their shareholders represented related public bodies. Managers were expected to follow commercial and technical principles without routine interference in prices or employment.
- **If the government required below-market prices, the resulting duty loss was to receive budget compensation.**
  A government requirement to sell below the market price could create a duty loss. That loss was to be compensated from the public budget by the following year. The arrangement separated the cost of the policy decision from the enterprise's ordinary commercial operations.

Public investment and private capital accumulation

- **New industrial employment and production could enlarge the domestic market.**
  Industrialization was expected to enlarge the domestic market. The new plants increased the supply of goods and generated demand for inputs. The resulting expansion could create opportunities for private firms serving that market.
- **Public firms could supply inputs used by private businesses.**
  Public enterprises were expected to supply materials to private businesses on favorable terms. Domestic production of intermediate goods could reduce dependence on some imported inputs. This helped provide a basis for further private production.

Public investment and private capital accumulation

- **Industrial projects could train workers and technical personnel.**
  A qualified workforce was one of the intended benefits of public enterprise. Industrial establishments provided a setting in which practical skills could be developed. Those skills could also be used by private businesses as they expanded.
- **Joint ventures could transfer finance and capabilities to private enterprise.**
  Joint ventures were proposed as a way to transfer capital to private businesses. Public participation could support projects where private finance alone was insufficient. Such arrangements were intended to complement the other channels of private capital accumulation.

Economic outcomes of 1930s industrialization

Indicator	Result	Interpretive limit
Economic growth, 1933–1939	Average of 8.6% per year	A period average does not show annual variation
Industrial growth during etatism	More than 10% per year	Rapid growth may partly reflect a small initial base
Foreign trade balance	Surpluses except in 1938	A surplus alone does not establish improved welfare
Fiscal and price conditions	Balanced budgets and stable prices	These descriptions do not identify a causal effect

- **Output growth**
  Average annual growth was estimated at 8.6 percent for 1933 to 1939. Industrial output grew by more than 10 percent per year during the etatist period. Other sectors also expanded, so growth was not confined to manufacturing.
- **External and fiscal conditions**
  Foreign trade surpluses were recorded except in 1938. Growth was accompanied by balanced budgets and stable prices. The figures describe outcomes over the period without isolating the effect of industrial policy.

The second industrial plan and World War II

- **Preparation of a second industrial plan began in 1936.**
  Implementation of the first plan began in 1934. Preparation of the second plan was initiated in 1936. It was intended to extend industrial development beyond the first group of projects.
- **Its ambitions included machinery, equipment, ports, electricity, and further industrial development.**
  The second plan included machinery and equipment production. Port construction and further electrification were also proposed. Additional food and chemical industries were envisaged alongside those infrastructure projects.

The second industrial plan and World War II

- **World War II prevented implementation of that plan.**
  The second plan was not implemented because of the Second World War. The plans for new industries and infrastructure could therefore not be carried out as proposed. The interruption limited the continuation of the earlier industrial investment programme.
- **The shift toward mobilization interrupted the earlier industrialization programme.**
  Human and capital resources were redirected toward defence. Overall output, particularly agricultural production, fell during mobilization. Economic policy shifted from expanding industrial capacity toward managing shortages and financing wartime needs.

Education, research and public institutions

- **Scientific and technical institutions supported information about minerals, power, and public health.**
  A mineral research institution was created to investigate domestic resources. A separate institution was formed to examine electricity resources and development. A public health institution was assigned functions including oversight of food and medicines.
- **Universities and other educational reforms aimed to expand qualified personnel.**
  İstanbul University was reorganized along modern scientific lines. Ankara University was also established. These reforms expanded the institutional base for scientific education and training qualified personnel.

Education, research and public institutions

- **Village Institutes connected rural education with practical production skills.**
  Village Institutes brought education and modern production methods to rural areas. Practical skills were taught alongside formal instruction. The programme continued during wartime, when 21 schools were opened in remote areas.
- **People's Houses supported cultural and educational activity.**
  People's Houses were established as centers for cultural activity. Music, painting and theatre were among the activities supported. They complemented the wider educational and cultural programme.

The wartime economy of the 1940s

- **Mobilization diverted workers and other resources toward defence.**
  Human and capital resources were allocated to defence. Their diversion reduced resources available for civilian production. Agricultural output was particularly affected.
- **Lower output and difficulty obtaining imports contributed to shortages.**
  Domestic agricultural production declined as resources were redirected. Import difficulties restricted the ability to compensate for that decline. Shortages of food were particularly severe in urban areas.

The wartime economy of the 1940s

- **Price controls, rationing, and production controls expanded.**
  Rationing was introduced for goods such as bread. Controls were extended over production and trade as shortages persisted. Administrative measures were used to limit price increases and black-market activity.
- **Fiscal pressure and monetary expansion accompanied inflation and black-market activity.**
  Budget balance became harder to maintain as defence needs increased. New taxes were introduced, and the money supply expanded. Inflation and black-market activity increased while the distribution of income worsened.

Wartime taxation and distribution

- **The Soil Products Tax renewed direct extraction from agricultural output.**
  The Soil Products Tax revived a direct levy on agricultural production. One tenth of gross agricultural output was to be paid to the Treasury. The tax was used for about two years under exceptional wartime conditions.
- **The Wealth Tax relied on assessment commissions with substantial discretion.**
  The Wealth Tax did not specify a definite base and rate in law. Assessment was delegated to commissions with substantial discretion. This gave rise to arbitrary assessments.

Wartime taxation and distribution

- **Assessments were arbitrary and imposed a disproportionate burden on minorities.**
  The burden was concentrated disproportionately on minority taxpayers. One estimate placed their contribution at more than half of the revenue collected. Some people who did not pay were sent to Aşkale.
- **The National Protection Law extended government powers over prices, production, and trade.**
  The National Protection Law gave the government extraordinary authority to intervene in markets. Prices and quantities could be controlled under this framework. Wartime measures also extended to the organization of production and trade.

Comparison of three policy settings

Dimension	1920s reconstruction	1930s etatism	1940s wartime economy
Main priority	Restore activity and build institutions	Create industrial capacity	Maintain supply and finance defence
State instruments	Banks, incentives, legal reform, infrastructure	Public enterprises and an industrial plan	Controls, rationing, and exceptional taxation
Main constraint	Scarce capital and skills	Depression and foreign-exchange shortages	Mobilization, supply disruption, fiscal pressure

- **Reconstruction in the 1920s**
  Banks and incentives were used to encourage private enterprise. Infrastructure was reorganized, including nationalization in railways and ports. Financial stability was treated as a policy objective.
- **Etatism in the 1930s**
  The Depression constrained export earnings and access to foreign exchange. Public enterprises organized industrial projects under the First Five-Year Industrialization Plan. Domestic raw materials and demand for basic manufactures guided project selection.

Comparison of three policy settings

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- **Wartime economy in the 1940s**
  Human and capital resources were redirected toward defence. Shortages were addressed through price controls, rationing and restrictions on production and trade. Emergency taxes and monetary expansion were used as fiscal pressures intensified.

Discussion: Which changes reflect a new development strategy, and which reflect emergency conditions?

Key conclusions

- **The Ottoman inheritance combined agricultural specialization with limited modern industrial capacity.**
  The late Ottoman economy supplied agricultural products and raw materials to foreign markets. Most domestic manufacturing consisted of small establishments supplying basic goods. The Republic therefore inherited a limited base for modern industrial production.
- **Global trade and finance created opportunities while exposing economies to external shocks.**
  Foreign capital financed railways that connected agricultural districts to export ports. The same external links exposed domestic producers to import competition and made public finance vulnerable to borrowing conditions. During the Depression, falling export demand sharply reduced foreign exchange earnings.

Key conclusions

- **The early Republic combined institution building and private enterprise with a larger public investment role in the 1930s.**
  Legal, educational and financial institutions were reorganized during reconstruction. Private firms received support through banking and incentives in the 1920s. During the 1930s, public enterprises were used to establish industrial capacity that private investment had not provided.
- **War changed economic priorities and intensified distributional conflicts.**
  Mobilization diverted resources from civilian production and made shortages more severe. The government responded with controls, rationing and extraordinary taxes. The burden of inflation and discretionary taxation was distributed unevenly.